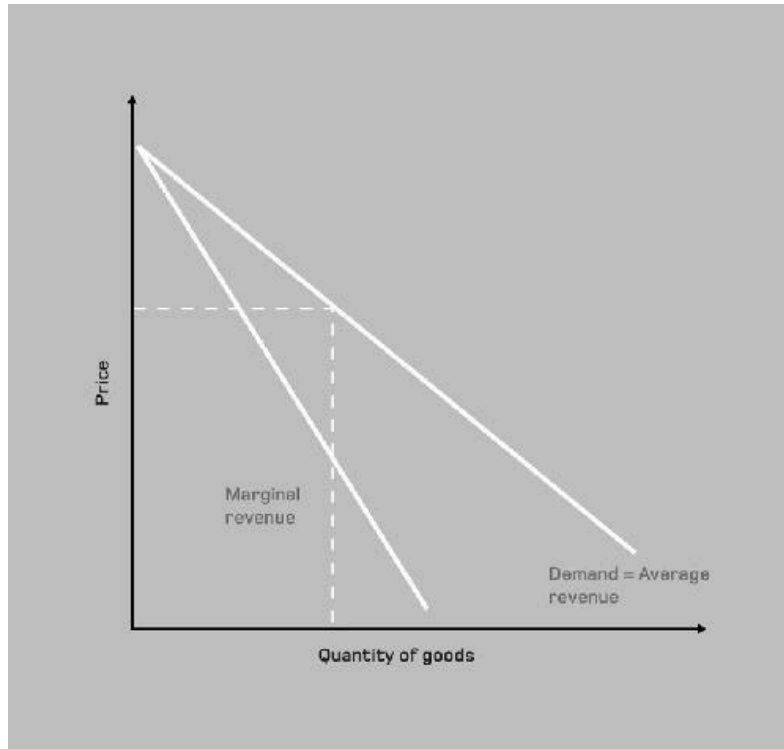


Monopolistic competition

Many companies sell soap. Each brand is slightly different but competes with the others: this is the essence of monopolistic competition. A consumer typically favours a particular brand of soap and is willing to pay more for it. This gives the manufacturer of that brand some market power: the firm could raise the price of its soap slightly without losing all of its customers. However, such market power has clear limits. Although the brand has special features, it is in competition with other brands. If the company raised its prices too much, customers would switch to other brands of soap.

So monopolistic competition combines elements of monopoly and competition. These firms have some market power and so don't charge the low prices that emerge when many firms compete to sell an identical product. On the other hand, because they are in competition, they cannot charge the kinds of high prices that a monopoly would. Such markets also offer product diversity, which is valued by consumers.



Under monopolistic competition, firms produce where average cost equals average revenue, as entry by other firms competes away profits.